

# Coinbase Q3 2025 Earnings Transcript

## Blind Sentiment & Directional Score

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### Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score  $\in [-1, +1]$ , directional signal  $\in \{\text{BUY, HOLD, SELL}\}$ , structured summary, evidence quotes.
- **HOLD band:**  $|\text{overnight move}| < 2.00\%$ . Above  $+2.00\%$ , BUY is correct. Below  $-2.00\%$ , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as  $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$ , applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The  $\pm 2.00\%$  band applies to the overnight move only.

### Report metadata

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|                   |                                                            |
|-------------------|------------------------------------------------------------|
| Company           | Coinbase Global, Inc. (COIN)                               |
| Report            | Q3 2025                                                    |
| Release date      | Thursday 30 October 2025, after close                      |
| Earnings call     | 5:30pm ET                                                  |
| Source transcript | <a href="#">Motley Fool</a>                                |
| Press release     | <a href="#">Form 8-K, SEC EDGAR, filed 30 October 2025</a> |
| Read mode         | transcript and news only                                   |
| Time to produce   | 49 minutes                                                 |

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### Source material (read this first)

#### Headline financials

- Total revenue \$1.9B. Transaction revenue \$979M, subscription and services \$747M.
- Net income \$433M. Adjusted EBITDA \$801M.
- Consumer spot volume \$59B, up 37% quarter over quarter. Derivatives volume above \$840B. Assets on platform \$516B.

#### Forward guide

- October transaction revenue tracking at about \$385M.

- Q4 subscription and services guided to \$710M to \$790M.
- Combined tech, development and G&A expenses \$925M to \$975M.

### Hedges and concerns

- A multi-quarter regulatory roadmap is still needed to bring US options products to market.
- New exchange competitors are entering, with competitive dynamics acknowledged in October.
- Infrastructure scaling risk after past cloud outages, driving multi-cloud investment.

### News and context going into the print

*Pre-release context only. Nothing below reveals the market reaction to this report.*

- Bitcoin set a record above \$120k in early October before the violent 10 October liquidation cascade, the largest in crypto history, so volumes were elevated but nerves were raw.
- The Deribit acquisition had closed, making the options market share story a key focus.
- The question going in was whether record trading activity had actually converted into revenue, and how much the October turbulence carried into Q4.

### FOMC backdrop (point-in-time, Fed event-study linkage)

*Added under the Fed extension (Mode B): the most recent FOMC statement released before this print. The statement is scored separately in the Fed event study; its stance doubles as the macro input for the in-prompt conditioning arm.*

- **Latest statement:** 29 October 2025 – 25bp cut to 3.75–4.00%.
- **Stance read:** Hawkish-leaning cut: Powell flagged that a December cut was “not a foregone conclusion”.
- **Event-study convention:** statement scored against the short-rate proxy as the primary instrument (SPY, TLT and XLF secondary), close-to-close on statement day; IC against the continuous reaction is primary.

### Candidate evidence quotes

1. “We turbocharged our trading platform in Q3 by adding DEX integrations, expanding assets from 300 to over 40,000” – Armstrong, prepared remarks.
2. “Deribit had over 75% market share for options ... huge opportunity for us” – Haas, Q&A.
3. “Crypto rails will power more financial services ... faster, cheaper, more global” – Armstrong, Q&A.
4. “We ended Q3 with \$516 billion in assets on platform” – Haas, prepared remarks.

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**Your scoring – fill in below, then seal**

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### 1 Sentiment score

**Score: +0.60**

*Rationale.* A genuinely strong quarter, with consumer volumes up 37%, positive net income, over \$800M of adjusted EBITDA and the Deribit deal contributing. Guidance held up despite the October turbulence.

## 2 Directional signal

**Signal: BUY**

*Rationale.* Strong numbers into elevated but not euphoric positioning, with the October crash already known and absorbed. The print itself argues up. BUY.

## 3 Structured summary

- **Trading and volumes.** Strong, with consumer volumes up 37% and derivatives scaling.
- **Subscriptions and services.** A solid second engine near \$750M, less hostage to volatility.
- **Balance sheet and platform.** Half a trillion on platform. The business is clearly scaled.
- **Forward guide.** October tracking healthy at about \$385M of transaction revenue.

## 4 Evidence quotes

1. “We turbocharged our trading platform in Q3 by adding DEX integrations, expanding assets from 300 to over 40,000” – Armstrong, prepared remarks (product).
2. “Deribit had over 75% market share for options ... huge opportunity for us” – Haas, Q&A (derivatives).
3. “We ended Q3 with \$516 billion in assets on platform” – Haas, prepared remarks (scale).

— SEALED —

## Overnight move and call verification

|                                                   |               |
|---------------------------------------------------|---------------|
| COIN close, 30 October 2025 (release day)         | \$328.51      |
| COIN open, 31 October 2025                        | \$336.00      |
| <b>Overnight move</b> (release close → next open) | <b>+2.28%</b> |

## Call verification

- HOLD band test:  $|+2.28\%| \geq 2.00\%$ , so this is not a HOLD.
- Sign test: the move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **BUY**, matching the correct call, so the call was **CORRECT**.

## Horizon returns (pre-registered)

*For the Information Coefficient.* Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

| Horizon                            | Return        |
|------------------------------------|---------------|
| Overnight (baseline for the label) | <b>+2.28%</b> |
| D+1 close                          | +4.65%        |
| D+3 close                          | −6.45%        |
| D+5 close                          | −10.13%       |
| D+10 close                         | −13.81%       |
| D+20 close                         | −16.95%       |